

average daily balance—in this case, about \$4,180—of the billing cycle. The lesson: Don't carry a balance if you can help it.

If You Can't Get a Regular Credit Card, Try a Secured Card

If you've never had any credit, you've defaulted on a loan within the last few years, or just don't meet the lender's requirements, you may find it difficult to get a credit card. One option to consider is a **secured credit card**. With a secured card, the issuer requires you to provide collateral by depositing money into a special savings account. The issuer usually allows you to charge an amount up to the amount on deposit. You can't withdraw the money from the savings account while you have the card.

A secured card shows up on your credit record, so using it helps you build up a track record of managing credit responsibly. Once you've demonstrated that you can handle a secured card, issuers will be more willing to take a chance on giving you a regular credit card.

Be aware, though, that secured cards often charge higher interest rates than traditional credit cards, and most have annual fees of about \$50. And though some issuers pay interest on the required savings account, most do not. That's why you should shop around. Sites like www.credit.com, www.cardtrak.com, and www.bankrate.com provide lists of secured card options and let you compare them side by side.

Should You Use Debit or Credit?

If you have trouble controlling your spending, consider cutting up your credit cards and using a **debit card** instead. Like a credit card, a debit card offers the convenience of not having to carry cash. Unlike a credit card, which allows you to borrow money, a debit card simply enables you to use money you already have. When you pay by debit card, the money is withdrawn from your bank checking account, usually overnight or within a few days. (Keep track of how much you have in your account to avoid penalties.)

Most debit cards have a Visa or MasterCard logo and you can use them wherever you would use an ordinary credit card, even overseas. As you probably know, that same debit card can also be used with your personal